Research Statement

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How do financial regulation and new technologies shape which firms get access to finance, and on what terms? I study this question as a financial economist working on financial intermediation and empirical corporate finance. To do so, I develop empirical models and estimate them on micro data. The common thread is to evaluate policies in equilibrium, accounting for how both intermediaries and the firms they finance respond. My research has two strands. The first focuses on small firms, which depend heavily on intermediated credit. My job market paper asks how banks and non-bank lenders compete in lending to these firms, given their differences in regulation and screening technology. Ongoing work asks how these firms manage their liquidity, especially through business credit cards. The second strand turns to corporate bond markets, and studies how capital regulation shapes insurers' demand for bonds and, through it, firms' cost of long-term debt.

Financing Small Firms

Access to external finance is essential for small and medium-sized enterprises (SMEs) to invest, grow and create jobs. In the UK they employ 60% of private-sector workers,[1] yet the government estimates their finance gap at £1.6 to £4.1 billion a year. Over the past decade, non-bank lenders have become an increasingly important source of credit for these firms, so their access to credit now depends on competition between banks and non-banks. The two types of lender differ in two salient dimensions. The first is regulation: banks face risk-based capital requirements that non-banks do not. The second is screening technology: non-banks are mainly fintech lenders built on new technologies, and so may assess the risk of opaque borrowers differently from banks. These two dimensions are linked: most banks are allowed to use their own regulator-approved internal models to assess each borrower's risk, and the capital they must hold against the loan is set based on this assessment.

In my job market paper, "Asymmetric Information and Capital Regulation in SME Lending: A Structural Model of Bank and Non-Bank Competition" (with Felipe Netto, Bank of England), we ask how risk-based capital regulation, lenders' screening technology and their interaction shape competition between banks and non-banks. We answer this question in unsecured lending to UK SMEs, a market where both dimensions matter: borrowers are opaque, so screening is central, and loans are unsecured, so risk-based capital requirements are high. We develop a model of lending under asymmetric information. A bank and a non-bank compete on the rate they offer each borrower and face differentiated demand. On screening technology, each lender learns about a borrower's risk through its own screening, and lenders can differ in screening precision. On regulation, the bank faces a cost of risk-based capital regulation. We estimate the model using administrative UK loan-level data, linked with a new dataset we construct from archived versions of lenders' websites, which records how each lender screens applications over time.

These new data reveal a feature of the market that, to our knowledge, has not been documented before. Banks screen loans online up to a bank-specific loan-size threshold of £25,000 or £50,000 and through relationship managers for larger loans, while non-banks screen all loans online. As a result, we observe the same bank screening with two different technologies. Crucially, the switch to human screening coincides with a sharp change in market outcomes: just above the threshold, banks' market share falls relative to non-banks, and so does the default rate on their loans.

[1] Department for Business and Trade, *Business Population Estimates 2025*; HM Treasury (2026).

We discipline the model's structural parameters so that it reproduces these patterns, along with how lenders' rates, default rates and market shares vary across borrowers. This lets us separate screening precision and the cost of regulation from how borrowers select across lenders. We identify precision mainly from two moments: how strongly each lender's rates co-move with the part of default that borrower characteristics do not explain, and how often its borrowers default beyond what those characteristics predict. We identify the cost of regulation from how bank rates vary with the risk weights associated with borrowers' observable risk.

Our results speak to both dimensions. On screening technology, which lender is more precise depends on banks' screening channel: when both screen online, non-banks are more precise, and when banks screen through relationship managers, banks are more precise. On regulation, banks keep a cost advantage over non-banks even after accounting for the cost of risk-based capital regulation. Because banks' capital requirements depend on their own risk assessment, how precisely a bank screens also determines its cost of regulation. These results contribute to work on competition between banks and non-banks by studying regulation and screening technology together, and to work on lenders' screening, by estimating screening precision in an equilibrium model of competition under asymmetric information.

We use these estimates in two counterfactuals, one for each dimension. The first changes technology. As banks close branches and move activity online, relying less on staff, we ask what happens if they also screen large loans online. Credit expands, as more firms borrow once they no longer need to apply through a relationship manager. But banks lose the precision of relationship screening, so their loans default more often. Through the link with regulation, the capital they must hold also rises as a result of the lower precision.

The second counterfactual changes regulation. In implementing Basel 3.1, UK regulators have debated removing the SME supporting factor, which would increase capital requirements on loans to small firms. We run this experiment in the model, and two results stand out. First, banks pass part of the higher cost on to borrowers. Most of the borrowers they lose stop borrowing, and these are the riskiest borrowers; the rest move to non-banks. Second, who moves depends on screening: where banks screen online, and are less precise than non-banks, non-banks attract safe borrowers that banks misjudge as risky. Taken together, the results show that the effects of capital regulation depend on how banks screen, so regulation and screening technology are best assessed jointly, especially in markets with a high degree of asymmetric information.

Within the same strand, in ongoing work with Felipe Netto, "Small Firms' Access to Liquidity", we turn from term loans to liquidity. How firms manage liquidity is a central question in corporate finance, but most evidence comes from large firms, which rely on committed credit lines. Small firms get shorter and less secure credit lines (Chodorow-Reich et al., 2022) and rely more on business credit cards (Benetton and Buchak, 2024; Akcigit et al., 2025), so cards and their unused limits can be an important buffer against cash-flow shocks. In the UK they are widely used: more than half a million firms obtained one between 2019 and 2025, and non-banks issue around 60% of them. Our data offer a rare view of small firms' finances: they link, at monthly frequency, each firm's current account to its cards, credit lines and loans at banks and non-banks, so we can see directly how firms cover liquidity shocks. New prudential rules under Basel 3.1 will require banks, but not non-banks, to hold capital against unused credit limits. This offers a new source of variation to study how banks adjust the liquidity they offer, and whether non-banks fill the gap.

Capital Regulation and Corporate Bond Markets

My second strand of research studies corporate bond markets. In "The Matching Adjustment and Corporate Bond Markets" (with Felipe Netto), we study how regulation shapes investor demand for corporate bonds. UK life insurers are major buyers of long-term corporate bonds, which they hold to match their annuity liabilities. Under Solvency II, they receive capital relief, the Matching Adjustment, on bonds whose cash flows match these liabilities. Because the regulator approves this relief for each insurer's portfolio, the same bond can carry different regulatory value for different investors. Recent reforms widened the set of eligible assets, including some callable bonds, and let insurers claim the relief on new assets before formal approval. We ask how much insurers value the relief, whether the reforms changed bond prices and the bonds firms issue, and whether insurers that use the relief trade differently from other investors in periods of market stress, as the rule's countercyclical design intends. To do so, we link insurers' security-level holdings and regulatory returns with transaction-level bond trades. Because insurers are among the largest long-term investors, the answers speak to bond prices, firms' cost of long-term debt and the stability of bond markets in times of stress.

Future Research

Going forward, I will continue to study how financial intermediaries respond to policy, combining equilibrium models with micro data and new data collection. This approach applies to a wide range of markets and policies. I plan to use it to build an independent research agenda in financial intermediation and empirical corporate finance, with research that informs policy on banks, non-banks and financial innovation. One opportunity I see is to better understand how artificial intelligence is reshaping financial markets. On the supply side, lenders increasingly rely on automated and AI-based screening, which can change which lenders compete effectively and on what terms. On the demand side, the same tools change how firms search and apply for finance, and so which firms gain access to credit. My job market paper provides a framework to study both sides together. Its model is static, so a natural extension is a dynamic model of how lenders adopt these technologies over time, and how their adoption decisions interact with competition and regulation.